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UPDATE

October 15, 2025 12:30 AM GMT

Global Macro Commentary | North America

October 14: US-China Shipping Scrutiny

US rates twist-steepen as Fed's Powell and Collins confirm rate cut expectations & plans to end balance-sheet runoff; risk weakens as US-China trade tensions extend to shipping; French PM Lecornu suspends pension reforms & gains political support; DXY at 99.047 (-0.2%); US 10y at 4.032 (0bp).

Global risk sentiment weakens amid continued US-China trade tensions and other political uncertainties in developed markets.

Developed Markets

- **Front-end US rates rally 2bp on comments from Fed Chair Powell and Boston Fed President Collins confirming expectations for two more rate cuts in 2025.** With hard economic data still lacking, Treasuries show little reaction to the morning's moderate downside surprise in NFIB small business optimism at 98.8 (C: 100.6). Market pricing remains near consensus for Fed cuts in both October and December, and Chair Powell does little to dispel this notion. Powell states that the economic outlook appears unchanged since the Fed's September meeting, reiterating risks to unemployment while acknowledging recent signs of stronger growth. After his speech, the implied likelihood of a December cut climbs another 5% to ~99%, supported by Boston Fed President Collins suggesting room for further cuts as "even with some additional easing, monetary policy would remain mildly restrictive." Regarding the government shutdown, President Trump says he will reveal a list of federal programs to be cut on Friday.
- **In his remarks, Chair Powell reiterates the Fed's long-standing plan to end balance-sheet runoff when reserves are somewhat above ample, which Powell believes could be "in coming months."** This view follows the deputy SOMA manager's projection for reserves to approach $2.8tr by the end of 1Q26. He acknowledges recent developments in funding markets, but notably qualifies these pressures as "temporary" and occurring on "selected dates" — confirming expectations for balance sheet runoff to continue, albeit with a "deliberately cautious approach" given the strains in September 2019.
- **US equities see choppy price action as risk sentiment falters amid continued US-China trade developments.** The US and China both begin charging port fees on the other country's shipping vessels, and China also applies sanctions to US subsidiaries of a major Korean shipbuilder. Meanwhile, officials from the EU also signal potential measures to address China's export controls and investments in the EU. US equities finds support in the morning as USTR Greer confirms a "scheduled time" for Presidents Trump and Xi to meet, and discussions are taking place between lower-level US and Chinese officials. However, the S&P 500 pulls back in the afternoon

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after President Trump proposes "terminating business with China having to do with cooking oil and other elements of trade." With the VIX once again breaking above 20 (+9.4%), the S&P 500 ultimately closes 0.2% lower, with sectors exposed to trade barriers underperforming in a reversal of yesterday's relief rally (IT: -1.6%; Consumer Discretionary: -0.3%). However, defensive sectors benefit from the risk-off rotation (Consumer Staples: +1.7%).

- **In Europe, duration outperforms (2y Bund: -1bp; 30y: -3bp) amid US-China trade uncertainties, with France leading the rally amid constructive fiscal developments.** After Prime Minister Lecornu proposes suspending the highly debated French pension reforms, the French Socialist Party says it will not oppose Lecornu in the upcoming no-confidence vote on Thursday, reducing the likelihood of near-term snap elections. Accordingly, the 10y OAT-Bund spread narrows by 5bp. However, the Socialist Party does not support Lecornu's budget plan, suggesting that budget negotiations will remain challenging and could result in higher deficits than initially proposed (4.7% in 2026). Other EGB spreads also tighten, with the BTP-Bund spread closing ~1.5bp tighter as the Italian government considers seeking 2.8bn from banks to support its budget.
- **Japanese rates twist steepen after a holiday weekend, with the long end selling off on heightened political uncertainty while the front end rallies as US-China trade tensions push back expectations for a BoJ rate hike.** 30y JGB yields rise another 4bp in the wake of Komeito's exit from the Liberal Democratic Party's ruling coalition on Friday, which our economists note may lead to a Diet runoff and a potential minority government. On the other hand, 5y JGBs rally 4bp as pricing for an October BoJ hike retreats to 10% in anticipation of trade uncertainty and potential growth challenges. We expect Wednesday's 20y JGB auction to be digested smoothly, supported by demand from real money, but foreign investors may hesitate to add duration exposure in light of ongoing political uncertainty.
- **The dollar weakens (DXY: -0.2%) in line with US yields while other safe-haven currencies outperform amid soft risk sentiment (USD/CHF: -0.4%; EUR/USD: +0.3%; USD/JPY: -0.3%).** Oil prices fall (Brent: -1.5%) after the EIA's monthly report projects a larger-than-expected 4mn barrel-per-day oil surplus next year, which weighs on NOK (USD/NOK: +0.8%). Risk-sensitive currencies with exposure to China continue to underperform (AUD/USD: -0.4%; NZD/USD: -0.2%).

Emerging Markets

- **In the Asia session after China imposes sanctions on US subsidiaries of Korean shipbuilders, KRW underperforms (USD/KRW: +0.7%) while local rates rally (10y KRW NDIRS: -4bp).** CNH outperforms the regional FX weakness, holding largely steady against USD amid a higher USD/CNY fixing (7.1021; P: 7.1007) and PBoC emphasizing currency stability. 5y CNY NDIRS yields fall 3bp as local equities extend their decline (CSI 300: -1.2%).
- **AxJ currencies weaken and rates rally broadly in a bull-flattening as US-China tensions weigh on regional risk sentiment.** In Singapore, SGD initially

strengthens on a relatively hawkish tone from the MAS and an upside surprise in 3Q25 GDP (2.9% y/y; C: 2.0%) before reversing to finish 0.2% weaker amid the broader risk-off move. In India, a rally in local rates (5y INR NDOIS: -3bp) is aided by a sharper-than-expected moderation in September WPI inflation at 0.1% y/y (C: 0.4%; P: 0.5%).

- **LatAm currencies broadly weaken, with Chile's CLP underperforming (USD/CLP: +0.2%) as growth concerns weigh on copper prices.** LatAm rates trade relatively flat, mirroring the movement in US Treasuries. In Argentina, ARS weakens 0.5% against USD and local bonds sell off after President Trump suggests that US aid may not be "generous" if the results of the upcoming Argentine election are not favorable for President Milei.
- **CEEMEA currencies weaken alongside risk sentiment, while local rates pare some initial rallies.** In Poland, the entire curve shifts lower by ~3bp, but the curve ultimately bear-flattens in Hungary (2y: +3bp; 10y: +1bp). EUR/PLN and EUR/HUF both close 0.1% higher, while South Africa's ZAR underperforms the region, with USD/ZAR closing the London session 0.4% higher.

Central Bank Monitor

Developed Markets

- **Fed Chair Jerome Powell** highlighted growing downside risks in the labor market and persistent inflation pressures. He reaffirmed that monetary policy transmission remains effective but warned of imbalances in the US job market.
- **Vice Chair for Supervision Bowman** noted that the economic outlook remains supported by current data, despite signs of softening in consumer spending. She suggested the possibility of two additional rate cuts before year-end and referenced ongoing regulatory discussions, including Basel III and stablecoin rules.
- **Boston Fed President Collins** said the Fed should continue lowering interest rates this year, given that inflation risks are "somewhat more contained" but risks to unemployment are greater. She notes that "even with some additional easing, monetary policy would remain mildly restrictive, which is appropriate for ensuring that inflation resumes its decline once tariff effects filter through the economy."
- **ECB President Lagarde** said she does not consider the ECB's rate cuts to be over, despite reiterating that monetary policy and the economy are "in a good place."
- **ECB Governing Council Member Villeroy** said the ECB's next move is more likely to be a cut than a hike.
- **BoE External Member Taylor** reiterated his view that the UK may be headed for a hard landing. He sees "the upside risks to inflation as low compared to the downward trajectory in output and inflation fundamentals."
- **ECB Governing Council Member Makhlouf** said that Ireland must focus on improving infrastructure to attract foreign direct investment.

Emerging Markets

- In **Singapore**, **MAS** maintained the status quo, making no changes to the width, center, and slope of the S$NEER policy band as widely expected. MAS assesses that the output gap should stay positive for 2025 as a whole, but could narrow to around 0% in 2026 as GDP growth slows in line with external developments to a near-trend pace. It sees core inflation troughing in the near term and rising gradually thereafter, averaging around 0.5% for 2025 and 0.5-1.5% in 2026, while headline inflation averages 0.5-1.0% for 2025 and 0.5-1.5% in 2026. MAS added that it is in an appropriate position to respond to any risk to medium-term price stability
- In **China**, **PBoC** stated that there is a strong foundation for the long-term CNY stability due to China's solid economic fundamentals. The central bank reiterated it will continue to let the market play a decisive role in exchange rate formation, and it will maintain CNY flexibility, strengthen management of expectations and guard against the risk of exchange rate overshooting
- In **Taiwan**, **CBC Governor Yang** told lawmakers that the central bank sees room for stablecoins, adding that Taiwan's stablecoin regulations will be broadly similar to those in the US, Japan, and Europe. Yang highlighted that financial institutions will be the issuers of stablecoins, and when issuing them, reserve assets should high-quality and liquid

Exhibit 1: G4 Rates Closes (5pm NY)

	US			Germany			UK			Japan		
Tenor	14-Oct	1d Δ (bp)	2wk	14-Oct	1d Δ (bp)	2wk	14-Oct	1d Δ (bp)	2wk	14-Oct	1d Δ (bp)	2wk
2y	3.481	(2.1)		1.932	(0.8)		3.894	(4.9)		0.883	(3.0)	
3y	3.489	(2.2)		2.004	(1.2)		3.902	(5.3)		0.978	(2.2)	
5y	3.607	(1.7)		2.200	(1.6)		4.036	(6.2)		1.175	(3.6)	
7y	3.798	(1.0)		2.342	(2.1)		4.179	(6.7)		1.400	(5.4)	
10y	4.032	(0.0)		2.609	(2.6)		4.589	(6.8)		1.648	(3.3)	
20y	4.594	1.5		3.091	(2.9)		5.283	(7.1)		2.709	0.1	
30y	4.632	1.3		3.191	(3.2)		5.393	(6.9)		3.212	2.5	

Source: Morgan Stanley Research, Bloomberg

Exhibit 2: Inflation Closes (5pm NY)

	US TIPS			10y Real Yields, BEI							
Tenor	14-Oct	1d Δ (bp)	2wk	10y	14-Oct	1d Δ (bp)	2wk	10y	14-Oct	1d Δ (bp)	2wk
5y	1.215	0.2		DBRi	0.646	(0.9)		BTPi	1.705	(3.3)	
BEI	2.365	(1.8)		BEI	1.751	(1.2)		BEI	1.736	(0.6)	
10y	1.724	1.6		UKTi	1.591	(6.3)					
BEI	2.308	(1.4)		BEI	3.072	(2.5)					
30y	2.407	1.9		JGBi	0.013	1.7					
BEI	2.227	(0.7)		BEI	1.604	(5.5)					

Source: Morgan Stanley Research, Bloomberg

Exhibit 3: Macro Closes (5pm NY)

Majors				EM				Equities / Commodities			
Spot	14-Oct	1d Δ (%)	2wk	Spot	14-Oct	1d Δ (%)	2wk	Index	14-Oct	1d Δ (%)	2wk
DXY	99.05	0.1		CNH	7.14	(0.1)		S&P	6644.31	1.4	
EUR	1.161	(0.1)		INR	88.80	0.1		Stoxx	5552.05	0.4	
GBP	1.332	(0.3)		THB	32.79	0.2		FTSE	9452.77	0.3	
JPY	151.84	0.4		KRW	1428.50	0.2		Nikkei	46847.32	(2.6)	
CHF	0.801	0.2		ZAR	17.38	(0.7)		VIX	20.81	(3.9)	
AUD	0.649	0.2		MXN	18.50	(0.5)		Gold (S)	4142.94	3.1	
CAD	1.405	0.3		BRL	5.48	(0.7)		WTI (Fut)	58.70	(0.3)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 4: G4 Central Bank Implied Pricing

Central Bank OIS

Fed	Implied	1d Δ (bp)	Total Δ	ECB	Implied	1d Δ (bp)	Total Δ	BOE	Implied	1d Δ (bp)	Total Δ	BOJ	Implied	1d Δ (bp)	Total Δ
EFFR (10/10)	4.100	0.0	--	EONIA (10/13)	1.926	0.0	--	SONIA (10/13)	3.967	0.0	--	TONAR (10/10)	0.477	0.0	--
10/29/25	3.862	1.0	(23.8)	10/30/25	1.920	(0.3)	(0.6)	11/06/25	3.936	(1.3)	(3.2)	10/30/25	0.501	(2.0)	2.4
12/10/25	3.617	0.6	(48.3)	12/18/25	1.888	0.3	(3.8)	12/18/25	3.872	(2.7)	(9.5)	12/19/25	0.596	(1.9)	11.9
01/28/26	3.487	0.5	(61.3)	02/05/26	1.866	(0.5)	(6.0)	02/05/26	3.745	(4.5)	(22.3)	01/23/26	0.650	(2.9)	17.3
03/18/26	3.356	(0.6)	(74.4)	03/19/26	1.814	0.0	(11.2)	03/19/26	3.702	(4.4)	(26.6)				
04/29/26	3.283	(0.7)	(81.7)	04/30/26	1.793	(0.9)	(13.3)	04/30/26	3.599	(6.7)	(36.8)				
06/17/26	3.140	(1.4)	(96.0)	06/11/26	1.777	0.3	(14.9)	06/18/26	3.576	(5.8)	(39.1)				

Source: Morgan Stanley Research, Bloomberg

The Day Ahead

Developed Markets

- 7:00am BST - **Sweden September CPIF-ex Energy (Final)** (MSe: 2.7% y/y; C: 2.7%; P: 2.7%); **CPIF (Final)** (MSe: 3.1% y/y; C: 3.1%; P: 3.1%), **CPI (Final)** (MSe: 0.9%; C: 0.9%; P: 0.9%)
- 8:40am BST - **ECB Vice President Guindos** will speak in Brussels
- 10:00am BST - **Euro Area August Industrial Production ex Construction** (MSe: -3.1%m/m; C: -1.8%; P: 0.3%)
- 2:45pm BST - **ECB Governing Council member Rehn** will speak in Washington
- 4:50pm BST - **ECB Governing Council member Villeroy** will speak in Washington
- 8:30am EST - **US October Empire Manufacturing** (C:-1.8; P:-9.7). The NY Fed survey is the first of the month's manufacturing surveys. Last month's reading, -8.7%, was lower than the index averaged in 2024, when manufacturing output was still contracting.
- 9:30am EST - **Fed Governor Miran** speaks at the Invest in America Forum
- 12:30pm EST - **Fed Governor Miran** speaks at Nomura Research Forum
- 1:00pm EST - **Fed Governor Waller** speaks about AI
- 2:00pm EST - **US Fed Releases Beige Book**. The July 2025 Beige Book highlighted widespread tariff-driven cost increases, raising the risk of faster consumer price growth by late summer. Several districts anticipated further price hikes as tariff effects continued to unfold, with tariffs broadly impacting prices, sales patterns, and economic uncertainty across regions. While national economic data are delayed, there may be more focus than usual on the tone of the Beige Book. However, the Beige Book has sounded consistently weak over the past year or so, even as overall data has remained resilient.
- 2:30pm EST - **Kansas Fed President Schmid** will hold a townhall event

Emerging Markets

- Wed 9:30am HKT - **China September CPI** (MSe: -0.2% y/y; C: -0.2%; P: -0.4%); **Core CPI** (MSe: 0.9% y/y; P: 0.9%) & **PPI** (MSe: -2.2% y/y; C: -2.3%; P: -2.9%). Our economists expect CPI rose from a low base while food prices declined further, and core CPI remained flat amid fading trade-in effectiveness. PPI likely held flat sequentially, with fading anti-involution impulse
- 11:00am HKT - **Korea August Money Supply M2** (P: 0.8% m/m)
- **Indonesia August External Debt** (P: $432.5bn)

- **India September Trade Balance** (C: -$27.5bn; P: -$26.5bn); **Exports** (P: 6.7% y/y); **Imports** (P: -10.1% y/y); **September Unemployment Rate** (P: 5.1%)
- **Philippines August Overseas Cash Remittances** (C: 2.9% y/y; P: 3.0%)
- 12:00pm BST - **South Africa August Retail Sales** (C: 3.7% y/y; P: 5.6%)
- 16:30pm BST - **Israel September CPI** (MSe: 3.0% y/y; C: 2.9%; P: 2.9%)
- 8:00am EST - **Brazil August Retail Sales** (P: 1.0% y/y:; C: 0.2%). A softer print would reinforce expectations for continued monetary easing. However, fiscal concerns remain elevated as the government faces setbacks on revenue-raising measures and debates new proposals to offset a projected deficit. Markets are currently pricing in only ~3 bps of cuts by year-end, but expect ~220 bps of easing from 2026 through mid-2027, with a terminal rate near 12.68%
- 11am EST - **Colombia August Retail Sales** (P: 17.9% y/y:; C: 13.4%). Consensus expects a sharp deceleration in retail sales growth, pointing to softer consumer activity amid high rates and tighter credit conditions, while fiscal concerns continue to linger. Markets are currently pricing in about 2 bps of cuts for the remainder of this year and roughly 33 bps between 2026 and early 2027, with a projected terminal rate near 8.90%.

Economic Releases

Developed Markets

- **US September NFIB Small Business Optimism:** 98.8 (C:100.6; P:100.8). Optimism dipped but remains elevated, though below post-election highs. This marks its first decline in three months, yet remained above the post-pandemic average of 94.5. Uncertainty remains elevated, the uncertainty Index rose by 7 points to 100 in September, reaching its highest level since March.
- **Germany October ZEW Survey Expectations:** 39.3 (MSe: 45.2; C: 41.6; P: 37.3)
- **UK August Unemployment Rate (3-Month Avg):** 4.8% (MSe: 4.8%; C: 4.7%; P: 4.7%). We see headline payrolls declining by 13k, with employment growth slowing to 110k over the three months to August. On the back of timelier pay indicators, they peg private sector ex-bonus earnings growth at 0.32%M in August. They expect headline regular pay growth to soften to 4.5% 3M/Y. They also note that NHS staff received their annual pay increase in August, which should boost public sector pay growth and the whole-economy (ex-bonus) pay print. Our economists forecast the latter at 4.8%3M/Y, with whole-economy total pay growth at 4.8%3M/Y as well.
- **UK August Employment Change (3M/3M):** 123k (MSe: 110k; P: 232k)
- **UK August Average Weekly Earnings (3M/Y):** 4.7% (MSe: 4.8%; P: 4.7%); **Average Weekly Earnings, ex Bonus** (3M/Y): 4.7% (MSe: 4.8%; P: 4.8%); **Private Sector Average Weekly Earnings, ex Bonus (3M/Y):** 4.5% (MSe: 4.5%; P: 4.7%)

- **UK September HMRC Payrolled Employees Monthly Change:** -10,000 (MSe: -13,000; P: -8,000)

Emerging Markets

- **Singapore 3Q25 Advance GDP:** 2.9% y/y (MSe: 1.8% y/y; C: 2.0%; P: 4.5%)
- **India September WPI:** 0.1% y/y (MSe: 0.3% y/y; C: 0.4%; P: 0.5%)
- **Czech August Current Account:** -CZK0.7bn (C: CZK3.7bn; P: -CZK14.9bn)
- **Poland August Current Account:** -EUR3087mn (C: -EUR1160mn; P: -EUR1168mn)

For more details, please refer to our economists' weekly reports and data previews:

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- *Japan*
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- Australia Macro+ Data Pulse: Business Confidence Improves In September, Underlying Details Mixed

G4 Smarter (Beta) Trading Partners

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Since 2000, enhancements to a G4 10y government bond futures momentum strategy have produced higher Sharpe ratios and stronger returns relative to total return government bond indices for the G4: US, Germany, Japan, and the UK. See A "Smarter" (Beta) Way to Trade G4 10y Futures Duration? for more information on these strategies.

Exhibit 5: Trading Signals for G4 Smarter (beta) Trading Strategy

Current Risk, G4 10y Futures	G4 Strategy Weight	Trade Longs Portfolio	Fade Shorts Portfolio	Total Risk Trade Longs Only	Total Risk Trade Longs/Fade Shorts (max 200%)	Trade Longs Portfolio Entry Date	Trade Longs Portfolio Exit Date	Fade Shorts Portfolio Entry Date	Fade Shorts Portfolio Exit Date
JB 10y Future	32.50%	100%	100%	100%	200%	9/9/2025	10/17/2025	9/19/2025	10/28/2025
GE 10y Future	29.25%	100%	100%	100%	200%	9/8/2025	10/14/2025	9/15/2025	10/20/2025
US 10y Future	30.50%	0%	100%	0%	100%	-	-	9/24/2025	10/30/2025
UK 10y Future	7.75%	100%	100%	100%	200%	9/10/2025	10/15/2025	9/25/2025	10/30/2025

Source: Morgan Stanley Research

Trading Strategy 1 – "Trade Longs/Fade Shorts"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, buy the futures contract and hold for a 25-business-day period. In short, this strategy buys futures when the Simple Moving Average Crossover (SMAX) generates both a long and a short signal, given the historical outperformance of long signals traded long and the underperformance of short signals traded short. Given that the SMAX could generate both a long and a short signal within the predefined holding period, an investor may have a 200% long position since each of the two signals would be traded in separate portfolio sleeves.

Trading Strategy 2 – Trade "Longs Only"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, do nothing. In short, an investor *only* trades long signals initiated by the SMAX given their historical precedent to outperform.

US Holiday Trading Strategy

Currently Active Strategies

None.

Combining the individual trading signals based on 10y Treasury future (TY) price patterns before and after US holidays has generated an annual strategy with no down years since 1987. See Trading 10y Treasury Futures Around US Holidays for more information.

Using historical data since 1983, we created a trading strategy using 10y Treasury futures (TY) that trades 11 times per year, either long or short, before or after the following US holidays: New Year's Day, Martin Luther King Day, Presidents' Day, Good Friday, Memorial Day, Independence Day, Labor Day, Columbus Day, Thanksgiving, and Christmas. Exhibit 6 displays the trading rules:

Exhibit 6: Trading rules for US holiday trading model using US 10y futures contracts (TY)

Holiday	Day of Week	Direction	Before/After Holiday	Trading Rule (business days, 3pm NY unless specified)	Trade Entry (business days)	Trade Exit (business days)
New Year's Day	Rotates	Long TY	After	Buy TY New Years +1, Sell TY New Years +4	New Year + 1	New Year + 4
Martin Luther King Day 1	Monday	Long TY	Before	Buy TY Tuesday before MLK, Sell Friday before MLK	MLK - 4	MLK - 1
Martin Luther King Day 2	Monday	Short TY	After	Sell TY Tuesday after MLK, Buy Friday after MLK	MLK + 1	MLK + 4
President's Day	Monday	Long TY	After	Buy TY Tuesday after Pres. Day, Sell TY Friday after Pres. Day	Pres. Day + 1	Pres. Day + 4
Good Friday	Friday	Long TY	After	Buy TY Monday after Good Friday, Sell TY Friday after Good Friday	Good Friday + 1	Good Friday + 5
Memorial Day	Monday	Long TY	After	Buy TY Tuesday after Mem. Day, Sell TY Friday after Mem. Day	Mem. Day + 1	Mem. Day + 4
Independence Day (July 4th)	Rotates	Long TY	After	Buy TY Independence Day + 2, Sell TY Independence Day + 4	Ind. Day + 2	Ind. Day + 4
Labor Day	Monday	Long TY	Before	Buy TY Monday before Labor Day, Sell TY Thursday before Labor Day	Labor Day - 4	Labor Day - 2
Columbus Day	Monday	Short TY	Before	Sell TY Monday before Col. Day, Buy TY Thursday before Col. Day	Colum. Day - 5	Colum. Day - 2
Thanksgiving	Thursday	Long TY	Before	Buy TY Friday before Thanksgiving, Sell TY Tuesday before Thanksgiving	Thanksgiving - 4	Thanksgiving - 2
Christmas	Rotates	Short TY	Before	Sell TY Christmas Day - 4, Buy TY Christmas Day - 1	Christmas - 4	Christmas - 1

Source: Morgan Stanley Research. Note: Past performance is no guarantee of future results.

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1499	41%	389	46%	26%	702	41%
Equal-weight/Hold	1618	44%	375	44%	23%	782	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	577	16%	88	10%	15%	234	14%
Total	3,698		853			1719	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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